Tesla, Inc.

TSLA NASDAQ

Hold	$367.20 ▼ 2.14%	12M Price Target $410.00	52-Week Range $297.38 – $498.83	Market Cap $1.45T

TSLA: Slipping on EV Credit Uncertainty, Robotaxi Hopes Intact

WHAT HAPPENED

- TSLA dropped 2.1% on light volume (17.7M vs recent 20-28M) — this looks more like quiet selling pressure than a panic move. No news, no filings — just the stock bleeding out after a strong run earlier in the month from $375 to $382.
- The sector tape tells the story: money rotated HARD into defensives (Healthcare +2.1%, Staples +1.5%) — classic "risk-off" day where high-multiple growth names like Tesla get sold first.

WHY IT MATTERS

Here's what's actually happening: the options flow is screaming conflict — massive put buying at $367.50 (54x normal open interest) AND massive call buying at the same strike (644x normal). That's not confusion, that's a huge bet on a BIG MOVE either direction, likely tied to Q3 earnings coming later this month. Translation: smart money is positioning for fireworks, not a quiet drift. With the stock sitting at only 35% of its 52-week range, sentiment is already beaten down — which means an earnings beat or a positive robotaxi update could squeeze shorts violently, but a miss sends it to the low $300s fast.

POLICY & POLITICAL WATCH

The elephant in the room: the $7,500 federal EV tax credit was killed under the current administration's tax package that took effect September 30, 2025 — meaning every Tesla sold in the US now costs buyers $7,500 more out of pocket. That's why Q4 deliveries are the single most important data point for this stock. Also watch the China tariff situation — Tesla's Shanghai factory and battery supply chain are directly exposed, and any escalation in US-China trade talks (ongoing this fall) hits margins immediately. On the positive side, the administration's push for autonomous vehicle federal preemption (overriding state-by-state rules) would be a MASSIVE tailwind for robotaxi — worth tracking NHTSA announcements closely.

IS IT EXPENSIVE?

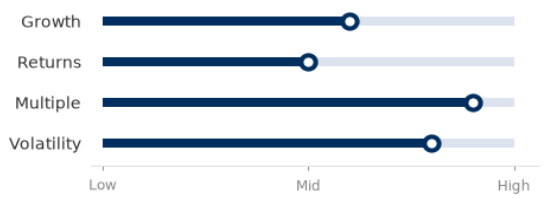
TSLA trades at roughly 150x forward earnings — meaning you're paying $150 today for every $1 the company is expected to earn next year. For context, Toyota trades around 10x and even Nvidia trades around 35x. The entire bull case rests on Tesla NOT being a car company by 2028 — if robotaxi and Optimus (humanoid robots) deliver, this looks cheap; if they don't, you're overpaying 10-15x for a slowing auto business facing Chinese competition.

WHAT COULD GO WRONG

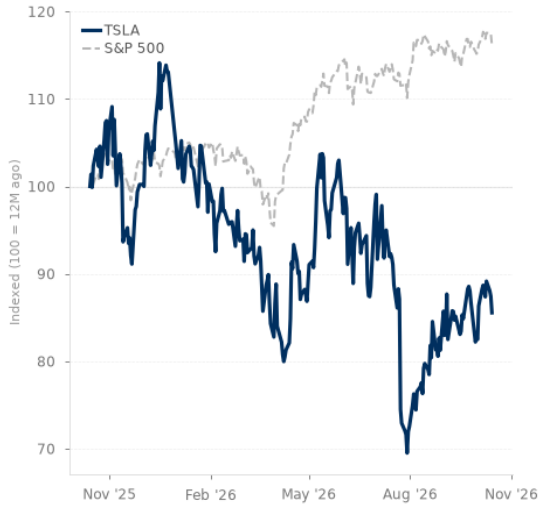
Key Data

Price (USD)	**$367.20**
12M Price Target	**$410.00**
Upside / (Downside)	**+11.7%**
Market Cap	**$1.45T**
FY2026E Revenue	**$118M**
FY2027E Revenue	**$142M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.20**
Fwd P/E	**149.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

TSLA — Tesla, Inc. | October 14, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$400.00**	$370.00	**$335.00**
6 Months	**$475.00**	$400.00	**$310.00**
1 Year	**$540.00**	$410.00	**$285.00**
2 Years	**$650.00**	$450.00	**$260.00**
5 Years	**$900.00**	$550.00	**$220.00**
10 Years	**$1500.00**	$750.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.6% weekly) and Consumer Staples (+4.6% weekly) — this is textbook defensive rotation, usually happens when investors get nervous about growth stocks or expect economic softening. Energy (+6.6% weekly) is ripping on geopolitical tension and tightening supply.

COOLING OFF: Real Estate and Materials — both are rate-sensitive and global-growth-sensitive, which tells you the market is pricing in "higher for longer" rates and slower global demand.

ROTATION WATCH: Money is leaving high-multiple growth (where TSLA lives) and parking in boring defensives — this is a headwind for Tesla specifically because at 150x earnings, it's exactly the kind of stock that gets dumped in a risk-off tape.

RELATED PLAY: If you believe the robotaxi story, the picks-and-shovels play is NVDA (chips power the AI driving) and the lithium/battery suppliers (ALB) — they win whether Tesla or a competitor wins the autonomous race.

WHO'S WINNING IN THIS SPACE?

- BYDDY (BYD Company): Chinese EV leader eating Tesla's lunch globally — outsold Tesla in Q2/Q3 and benefiting from Beijing's EV subsidies that mirror what the US just killed
- GM (General Motors): Legacy auto working because it has no EV multiple to defend — straight ICE profits plus a leaner, more realistic EV strategy

TSLA CONTEXT: Tesla is LAGGING the auto peer group this quarter — a bad sign because it means the market is treating it like a car company (which is losing share) rather than a tech company (which would be in favor). Until robotaxi delivers measurable revenue, this re-rating risk is real.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive but not pounding the table; too much hinges on execution and politics outside the company's control.

POSITION SIZE: 2-4% of portfolio — this stock can move 10% in a day, so size it where a bad week doesn't ruin your month

ENTRY POINTS: I'd be a buyer on pullbacks to $330-350 (the lower end of recent range), or on any post-earnings panic flush below $320

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is tangible robotaxi revenue in 2027 earnings reports, not just promises

WHEN TO BAIL: Auto gross margins drop below 15%, robotaxi gets pushed past 2027, or Musk makes a major capital allocation move (big acquisition, massive dilutive raise) that signals desperation

HEDGING: Simplest hedge — only buy half your intended position now and keep dry powder for a drop. If you want insurance, buying put options a few months out that pay off if the stock drops below $320 is cheap earthquake insurance given earnings volatility

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